EQUITY RESEARCH · COMPANY DEEP DIVE

Visa Inc. (V.US)

OVERWEIGHT
Blended Target: $398.83
DCF + Comps + Analyst (see cross-check table)
Implied upside: +23.7%

Financial Services · Credit Services
Large Cap (>$200B) · Report Date: June 12, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-12

Price (Jun): $322.39

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $398.83 (+23.7% vs $322.39); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Visa Inc. (V) — Financial Services. Visa Inc. operates as a payment technology company in the United States and internationally. The company operates VisaNet, a transaction processing network... **OVERWEIGHT** rating; blended target $398.83. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$613.10B	Shares Out.	1659.7M
52-Week Range	$293.89 – $363.01	P/E (TTM)	28.1x
P/B	17.3x	Beta	0.77
Avg Volume	7.43M	Analyst Rec.	Strong_Buy
Revenue (TTM)	$43.03B	Rev Growth	+17.1%
Op. Margin	67.3%	FCF (TTM)	$21.58B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	35,926	40,000	46,840	52,798	57,895
Revenue Growth (%)	N/A	11.3%	17.1%	12.7%	9.7%
Net Income ($M)	19,743	20,058	23,488	26,476	29,032
Net Income Growth (%)	N/A	1.6%	17.1%	12.7%	9.7%
Gross Margin (%)	80.4%	80.4%	97.8%	97.8%	97.8%
Net Margin (%)	55.0%	50.1%	50.1%	50.1%	50.1%
ROE (%)	50.4%	52.9%	62.0%	63.3%	66.2%
EPS ($)	11.90	12.09	14.15	15.95	17.49
Book Value / Share ($)	23.58	22.84	22.84	25.18	26.44
P/E (x)	27.10	26.68	22.78	20.21	18.43
P/B (x)	13.67	14.11	14.11	12.80	12.19
Dividend Yield (%)	84.0%	84.0%	84.0%	84.0%	84.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$472.17	+46.5%	0% (excluded)	Diverges above other methods (175% of median)
Comps — P/E (peer median)	$168.10	-47.9%	—	Peer median P/E 14.6x
Comps — P/S (peer median)	$111.20	-65.5%	—	Peer median P/S 4.3x
Comps — Blended (avg. of available multiples)	$139.65	-56.7%	0% (excluded)	Diverges below other methods (35% of median)
Analyst consensus (Yahoo Finance)	$398.83	+23.7%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	$398.83	+23.7%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Triggered (|upside| ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	8.21%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	$21.58B
PV explicit (5Y)	$124.59B
PV terminal	$659.07B
Equity value (adj.)	$783.66B
Implied price	$472.17
vs. current	+46.5%

INDUSTRY ANALYSIS

1. Industry Overview

Visa Inc. operates as a payment technology company in the United States and internationally. The company operates VisaNet, a transaction processing network that enables authorization, clearing, and settlement of payment transactions. It also offers credit, debit, and prepaid card products; tap to pay, tokenization, and click to pay services; Visa Direct, a platform which facilitates money...

2. Key Trends

- Strong top-line growth (17.1% YoY)
- High operating leverage (67.3% margin)
- Defensive profile (β=0.77)
- Sector: Financial Services | Industry: Credit Services

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
JPM	JP Morgan Chase & Co.	$859.37B	15.4x	N/A	33.9%	+12.7%
BAC	Bank of America Corpor	$397.55B	13.9x	N/A	29.0%	+8.1%
WFC	Wells Fargo & Company	$256.23B	12.9x	N/A	26.7%	+5.7%
GS	Goldman Sachs Group, I	$313.52B	19.4x	N/A	29.4%	+14.5%
V*	Visa Inc.	$613.10B	28.1x	20.3x	51.7%	+17.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.